

1. A consumption point inside the budget line
 - A. is unaffordable.
 - B. shows that the consumer spends income on only one of the goods.
 - C. shows that the consumer has chosen to spend all of his or her income on both products.
 - D. is affordable and, because it is inside the budget line, means that all the person's budget has been spent.
 - E. is possible to afford but has some unspent income.
2. Marginal utility measures:
 - A. the total utility of all your consumption
 - B. the total utility divided by the price of the good
 - C. the increase in utility from consuming one additional unit
 - D. none of the above
3. The total amount of satisfaction someone enjoys from consuming a specific quantity of goods is called total utility. (T/F)
4. As Aniq drinks additional cups of tea at breakfast, Aniq's
 - A. marginal utility from tea decreases.
 - B. total utility from tea increases.
 - C. total utility from tea decreases.
 - D. Both answers A and B are correct.
 - E. Both answers B and C are correct.
5. Suppose that Jessica's MU/P is 8 for swimming lessons, 12 for voice lessons, and 4 for piano lessons. In order for Jessica to maximize total utility, she should definitely
 - A. take more swimming lessons
 - B. take more voice lessons
 - C. take more piano lessons
 - D. find some other activities because the values for MU/P are very low
 - E. take fewer lessons of each type

6. a. The following table portrays Tony's total utility from consumption of Spiderman comic books — he is an avid collector. The column for marginal utility has been left blank. Calculate the values for marginal utility and fill in the blanks in the marginal utility column.

Number of Comics	Total Utility	Marginal Utility
0	0	
1	100	$100-0 = 100$
2	190	$190-100 = 90$
3	270	$270-190 = 80$
4	330	$330-270 = 60$
5	380	$380-330 = 50$

b. Does Tony experience the law of diminishing marginal utility from consuming Spiderman comics? Explain your answer.

Ans. b. Tony does experience the law of diminishing marginal utility in his consumption of Spiderman comic books. The figures in the marginal utility column of the table decrease from 100 to 50 from the first comic book through the fifth.

7. Jacob is a Lego maniac, but he also likes Super guns. The following table shows Jacob's total utility and marginal utility from Legos and Super guns. Suppose the price of Legos is \$5 per set and the price of a Super gun is \$8 per gun. Compute the marginal-utility-to-price ratios [MU/P] for Legos and Super guns and enter these values in the table.

Q [Legos]	TU	MU	MU/P	Q [Super guns]	TU	MU	MU/P
0	0			0	0		
1	20	20	$20/5 = 4$	1	50	50	$50/8 = 6.3$
2	37	17	$17/5 = 3.4$	2	75	25	$25/8 = 3.1$
3	50	13	$13/5 = 2.6$	3	90	15	$15/8 = 1.9$
4	60	10	$10/5 = 2$	4	100	10	$10/8 = 1.3$
5	65	5	$5/5 = 1$	5	102	2	$2/8 = 0.3$

8. Jan's marginal utility from strawberries is 200 and his marginal utility from cream is 100. Jan spends all his budget. The price of strawberries is \$5 per pound and the price of cream is \$5 per pint. **To maximize his total utility**, Jan should
- A. buy less cream and more strawberries.
 - B. buy less cream and fewer strawberries.
 - C. buy more cream and fewer strawberries.
 - D. buy more cream and more strawberries.
 - E. change nothing because Jan is maximizing his utility now.

Ans. 9.

MUs = 200, Ps = \$5 per pound,

(MU/P) - MU per \$ spent for strawberry = MUs/Ps = $200/5 = 40$

MUc = 100, Pc = \$5 per pint,

MU per \$ spent for cream = MUc/Pc = $100/5 = 20$

MUs/Ps greater than MUc/Pc. Therefore, Jan should buy less cream and more strawberries.

9. Jamie currently consumes 4 units of tomatoes and 7 units of bread each week. The price of tomatoes is \$2 per unit while the price of bread is \$1 per unit. Jamie's marginal utility from the last unit of tomatoes he consumes each week is equal to 10 units while his marginal utility from the last unit of bread he consumes each week is 6 units. Jamie should
- A. continue to consume the same level of tomatoes and bread each week.
 - B. consume more bread and less tomatoes, since currently his marginal utility per dollar spent on bread exceeds his marginal utility per dollar spent on tomatoes.
 - C. consume less bread and more tomatoes, since currently his marginal utility per dollar spent on bread exceeds his marginal utility per dollar spent on tomatoes.

Ans 9.

MUt = 10, Pt = \$2 per unit

MU per \$ spent for tomatoes = MUt/Pt = $10/2 = 5$

MUb = 6, Pb = \$1 per unit

MU per \$ spent for bread = MUb/Pb = $6/1 = 6$

MUb/Pb greater than MUt/Pt. Therefore, Jamie should consume more bread and less tomatoes, since currently his marginal utility per dollar spent on bread exceeds his marginal utility per dollar spent on tomatoes.

Note: All these problems have been taken from external sources.